RICE UNIVERSITY · DEPARTMENT OF ECONOMICS

Getting Set Up: ECON 209

Applied Econometrics (ECON 209 004/005) · Fall 2026 · Prof. Jeff Dominitz
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Please work through this before our first lab session, Monday, August 24. Budget about twenty minutes, plus download time.

This course is hands-on: you'll be working with real data, running regressions, and producing your own tables and figures. Install your software before the first lab and you'll spend that hour learning rather than troubleshooting. The habits here carry well past this semester — into research assistantships, theses, and most work that involves data.

1 Why VSCode

Visual Studio Code (VSCode) is a free, open-source code editor from Microsoft, and it's what we'll be using in this course. The syllabus notes that you may use whatever coding package you prefer; the companion texts cover Python, R, and Julia, and lab sessions will use Python. VSCode handles all of these in a single window, so you learn one editor, one set of shortcuts, and one file browser, and swap languages underneath it. If you later join a research project running on something else, the environment comes with you.

It's also where the current generation of AI coding tools plugs in: a tool running inside VSCode can see the file you have open and the error you just triggered, rather than only what you paste into a browser tab.

2 Installing VSCode and connecting Python

Everything below is free.

1. **Install VSCode.** Go to code.visualstudio.com and download the build for your operating system.
   macOS: unzip and drag the app into your Applications folder; don't run it from Downloads. **Windows:** run the installer and make sure "*Add to PATH*" is checked.

2. **Install Python via Anaconda.** Go to anaconda.com/download, create a free account, and download the Anaconda Distribution for your OS.
   Use Anaconda rather than a bare Python install: it ships with `pandas`, `numpy`, `statsmodels`, and `matplotlib` already included, so you won't need to install packages for our labs. This is the same install the syllabus asks for. It's a large download, so don't leave it for the last minute.

3. **Add the extensions.** Open VSCode and press `Cmd+Shift+X` (macOS) or `Ctrl+Shift+X` (Windows) to open the Extensions sidebar. Search for and install:
   Python (Microsoft) · **Jupyter** (Microsoft)

4. **Point VSCode at Anaconda.** This is the step people miss, and skipping it is the source of most "it says pandas isn't installed" confusion.
   Press `Cmd+Shift+P` / `Ctrl+Shift+P` to open the Command Palette, type **Python: Select Interpreter**, and choose the entry labeled `base` or `anaconda3`. VSCode now runs your code through Anaconda's Python rather than whatever else is on your machine.

5. **Confirm it works.** Create a new file called `test.py` and paste in:

```
import pandas as pd, statsmodels.api as sm
print("pandas", pd.__version__)
print("statsmodels", sm.__version__)
```

Run it with the ▷ button in the top-right corner. Two version numbers in the terminal means you're set. An error usually means the interpreter in step 4 didn't take; see the box just below.

6. **Stay with Python for now.** It's what we use in lab, and it's all you need for the first session.

Prefer Jupyter notebooks? Open any `.ipynb` file directly in VSCode and pick the Anaconda kernel when prompted. Working in R, Julia, or Stata instead? Email me and I'll point you at the right extension — there's no advantage to installing everything up front.

> **IF SOMETHING DOESN'T WORK, ASK AN AI**
>
> Installation problems are common, rarely interesting, and not a sign that you're behind. Copy the *full* error message into whichever AI tool you're using, along with your operating system and what you were trying to do, then work through its suggestions one at a time and tell it what happened. This is squarely within what the syllabus permits — debugging is coding help, and it's one of the things these tools are genuinely best at. Reading an error message carefully and describing it precisely is also most of what debugging is. If you're still stuck after a few rounds, email me; please don't spend an evening lost in a PATH variable.

3 Also start now: the GitHub Student Developer Pack

Separately from the installs above, take ten minutes to apply for the **GitHub Student Developer Pack** (education.github.com/pack). It's free for verified students and worth doing whether or not you ever use an AI coding tool: you'll want a GitHub account for our labs regardless, since we'll be using Git and GitHub to keep track of your work, and the pack also includes **GitHub Pro**, three months of **DataCamp**, a year of the **JetBrains** IDEs, and a handful of other offers.

> **START EARLY — THIS IS THE ONE ITEM HERE WITH A WAITING PERIOD**
>
> Approvals can take up to about three days, and applications do get rejected on technicalities. What helps: add and verify your Rice email on the account first, apply *from campus, on the campus network rather than a VPN*, and upload proof of enrollment that is *dated*, shows the full school name, and matches the name on your GitHub account — a dated class schedule works better than a student ID. If you're rejected, it's usually fixable on a second attempt with a better document. Don't leave this until the night before a lab.

4 On AI, in one paragraph

The syllabus permits AI **for coding** on the problem sets, and does not permit it for interpreting your results, for non-coding questions, or in any form on the exams. Unauthorized use is a Rice Honor Code violation.

No paid tool is required for this course. Everything we do in lab runs without one, and nothing in your grade depends on which tool you use, or on using one at all. A companion handout, "**AI in ECON 209**", covers the full policy text, the tools, and privacy — read it when you have a moment; it isn't needed before the first lab.

Questions? Email me at `jr120@rice.edu` — better to sort an installation out in August than in the first lab. Office hours announced on Canvas. · ECON 209 004/005 · Fall 2026 · Prepared by Jessica Rood, TA; not an official University publication, and the syllabus governs where the two differ.